THE WILLIAMS COMPANIES, INC.

NYSE: WMB | Gas pipelines (Transco), gathering and storage; off-grid gas power for data centres | Tulsa, Oklahoma

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** US$74.35 (NYSE close, 30 October 2026)	**Upside:** Base value US$77.72 (+4.5%)

Williams owns the gas main and now builds the power plant beside the data centre. At US$74, the price pays for the pipes in full and the power plants only in part.

Williams moves about a third of America's gas through Transco and its other pipes. Since late July it has also run its own gas power plant for Meta in Ohio, off the grid, the first of five such projects. My October piece argued that building your own power swaps the grid's queue for the machine makers' queues. Williams got ahead by buying its machines first.

The power plants earn well, about 5 times build multiples on contracts of 10 to 12.5 years. But on my estimates they make about 11% of 2028 Adjusted EBITDA, and the price already pays today's full multiple for the pipes.

My call: NO CALL, medium conviction. A sum of the parts gives US$77.72, 4.5% above the price, inside a range of US$55.22 (down 26%) to US$95.80 (up 29%). That is inside my no call band.

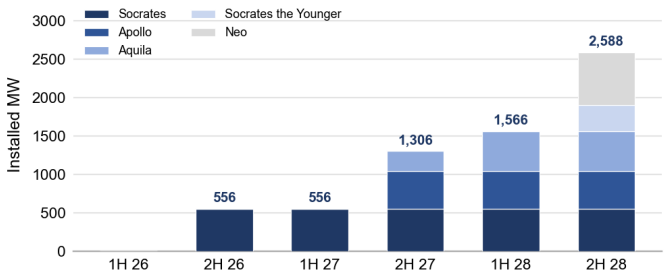
Stock data
LAST PRICE **US$74.35, NYSE close 30 October 2026; record close US$79.40 on 19 May 2026, intraday high US$80.08 on 20 May**
MARKET VALUE **US$92.9bn on 1,250m shares (30 Jul 2026 plus Momentum shares)**
ENTERPRISE VALUE **About US$132bn with net debt of about US$31.9bn (30 Sep, my estimate) and outside owners**
2026 GUIDE (3 AUG 2026) **Adjusted EBITDA US$8.3 to 8.5bn; AFFO US$5.15 a share; dividend US$2.10**
MULTIPLES **EV 15.8x 2026 guide and 13.8x my 2027E EBITDA; yield 2.8%**
POWER INNOVATION **Five projects, 2,588 MW installed, about US$9.0bn before capitalised interest; 10 to 12.5-year contracts**
CONSENSUS (STOCKANALYSIS.COM) **Average target US$85.38 (25 analysts); 2027 EPS US$2.62**
NEXT EVENT **Q3 2026 results, early November; not on EDGAR by 2 November, date not confirmed by Williams in what I read**

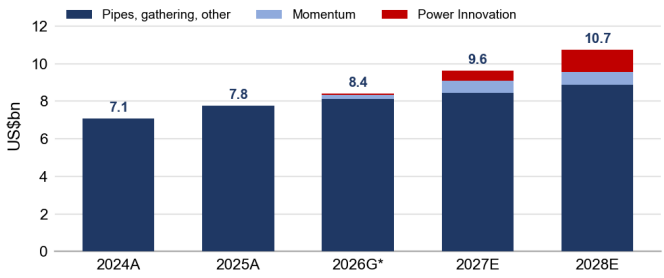
Key financials (calendar years; Adjusted EBITDA and AFFO as Williams defines them)

US$ million unless stated	2024A	2025A	2026G*	2027E	2028E
Pipes, gathering, marketing, other	7,080	7,750	8,119	8,443	8,865
Momentum (from 3 Sep 2026)			216	647	700
Power Innovation			66	526	1,177
Adjusted EBITDA	7,080	7,750	8,400	9,617	10,743
Growth (%)		9.5	8.4	14.5	11.7
AFFO per share (US$)	4.40	4.78	5.15	5.70	6.25
Dividend per share (US$)	1.90	2.00	2.10	2.21	2.31
Net debt / Adjusted EBITDA (x)			3.67	3.72	
EV / Adjusted EBITDA at US$74.35 (x)			15.8	13.8	

**2026G is Williams' guide midpoint of 3 August 2026; its split into the three sources is mine. 2027E and 2028E are my estimates. 2024A and 2025A from Williams' releases; AFFO per share for those years is my arithmetic on AFFO and weighted diluted shares. Net debt is mine, rolled from 30 June 2026; Williams' own leverage measure counts the Blackstone capital as equity and guides about 3.75x for 2026.*

Two charts: the power build, and where it sits in the company





Left: Power Innovation installed MW in service at the end of each half year, from Williams' in-service windows (Form 10-Q, 30 June 2026); Aquila's split is mine. Right: Adjusted EBITDA by source, US$bn; 2024A and 2025A per Williams, 2026 its guide midpoint split by me, 2027E and 2028E mine.

The thesis: the owner of the gas main digs the well

Go back to the street in the piece whose water main is too small. Every house wants its own well, and the drilling firms are booked for years. Now the company that owns the water main offers to dig your well, install the pump and run it for ten years at a fixed fee. It already has the water and the trench, and it booked the pump makers' diaries before the neighbours did.

That is Williams. It builds a gas power plant on or beside a customer's site, lays the gas line to it and runs it, under a primarily fixed-price contract. It calls this Power Innovation, and has signed five projects:

Project	State	Installed MW	Contract	Williams' in-service window
Socrates	Ohio	556	10 years	South late Jul 2026; North Q4 2026
Apollo	Ohio	490	12.5 years	2H 2027
Aquila	Utah	520	12.5 years	2H 2027 to 1H 2028
Socrates the Younger	Ohio	340	10 years	2H 2028
Neo	Ohio	682	12.5 years	2H 2028
Total		**2,588**	**11.6 years, MW-weighted**	**About US$9.0bn before capitalised interest**

Source: Williams Form 10-Q for the quarter to 30 June 2026. Customers are not named in Williams' filings; Ohio's siting board names Sidecat, a Meta affiliate, for Socrates North. The 10-K calls the first projects' customer 'a large, investment-grade company'.

Williams' filings since May 2026 give Socrates 556 MW of expected capacity. The 2025 10-K described 400 MW committed to the customer, two plants of 200 MW, the figure on Williams' project page. My reading is that the gap is spare capacity, which an off-grid plant needs because no grid stands behind it.

The claim holds, and Williams shows the mechanism. Williams moved fast because it joined the makers' queues early and paid. At the end of June its leverage measure left out US$777m of cash spent on long-lead power equipment, also outside its capex guide, because customers reimburse it if an order is cancelled. On the Q2 call, per a third-party transcript, its operating chief said Williams had "locked up the turbines" for its backlog, and that equipment timing is "really going to be setting some of the pace". Ohio approved Socrates North on 18 September 2025; Socrates South entered service in late July 2026, "within budget and on time", and North is due later in Q4.

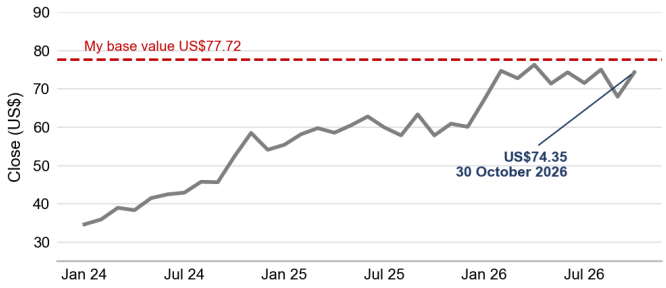
The returns are high because speed is scarce. Blackstone's US$4.4bn for 49% of the growth capex implies about US$9.0bn before capitalised interest (8-K, 13 July 2026). "Like our other power innovation projects", Williams expects to build Neo at "an attractive 5x build multiple" (CEO, Q1 call), cost over yearly EBITDA. At about 5 times, the five projects earn about US$1.8bn a year at full output, my estimate: about US$0.70m per installed MW, or US$1,906 per MW-day. PJM's 2027/28 capacity auction cleared at its cap of US$333.44 per MW-day. The comparison is rough, since a capacity price pays only for availability, but the data centre pays about 5.7 times it for a plant that comes years sooner.

Over the contract alone, with nothing after it, a 5 times build multiple earns about 17% a year before tax and maintenance, my arithmetic on the 11.6-year average term. Blackstone, Apollo and KKR fund 49% at a 6.35% target return; distributions above it cut their balance, and Williams can buy them out at that balance from July 2033.

The pipe's clock still runs. Transco's Southeast Supply Enhancement, 1,597,000 dekatherms a day, received its FERC certificate in January 2026. Williams' 10-Q now says "as early as the third quarter of 2027", against the 1 November 2027 target in the original application the piece cites. Nothing I found says the piece was wrong.

Variant perception: what the market prices in, and where I differ

At US$74.35 Williams is worth US$92.9bn on 1,250m shares, including 26.9m issued for Momentum Midstream on 3 September. With net debt of about US$31.9bn at the end of September, my estimate, and outside owners' stakes, the enterprise value is about US$132bn: 15.8 times the 2026 guide midpoint and 13.8 times my 2027 EBITDA. The shares trade at 31.6 times the 2026 adjusted EPS guide of US$2.35 and yield 2.8%. On stockanalysis.com's own EBITDA, Williams is at 17.3 times trailing against a 12.8 times median for six pipeline peers, and was 10.9 times at the end of 2023.



Date	What happened	Move
10 Feb 2026	Q4 results and Analyst Day	up 1.5%
19 May 2026	Record close US$79.40	Peak
13 Jul 2026	Blackstone joint venture, US$5.34bn	down 0.7%
4 Aug 2026	Q2 results; Socrates phase one; Momentum	up 1.5%

Left: Williams month-end close, January 2024 to the 30 October 2026 close, against my base value (red). Nasdaq.com, retrieved 2 November 2026. Right: move from the previous close to the close on the day the news reached the market.

The power business is too small to carry the premium alone. On my estimates Power Innovation makes US$0.53bn of EBITDA in 2027 and US$1.18bn in 2028, about 11% of that year's total. Counting only signed projects, I grow EBITDA 9.7% a year to 2030, below Williams' target of more than 11%; the gap is the 6 GW backlog Williams talks about but has not signed.

The price pays for the pipes in full, and the power plants only in part. If I value the pipes, gathering and Momentum at 13.5 times my 2028 EBITDA, the price implies about 5.7 times run-rate EBITDA for the five power projects. A 11.6-year level stream is worth 7.4 times at 8%, so the market pays less than the contracts are worth and nothing for renewals or the backlog. That is the part I think it undervalues.

But the pipes' multiple decides the value. Each turn on the pipes moves my value about US$7.65 a share; each turn on power about US$1.44. Williams' year-end EV was about 13.4 times its Adjusted EBITDA in both 2024 and 2025, my arithmetic, so 13.5 times only holds today's rating.

The dividend needs fast growth. The US$2.10 dividend is about 41% of guided AFFO per share. At an 8% cost of equity and 3% growth after ten years, the price needs it to grow about 9.8% a year for ten years, twice its recent rise, though close to my AFFO per share growth to 2028.

Valuation, with the working

I value Williams twelve months out, at October 2027, as a sum of two parts on Adjusted EBITDA; by then the market prices 2028. I split the 2026 guide midpoint of US$8.4bn into Momentum (four months, US$216m), Socrates (US$66m) and the core, and grow the core 4% in 2027 and 5% in 2028. Momentum adds US$647m in 2027, from Williams' 8.5 times multiple on US$5.5bn, and US$700m in 2028. All are my estimates.

Part	Basis	US$ million
Pipes, gathering, Momentum	13.5 x 2028E EBITDA of 9,565	129,134
Power Innovation	8 x run-rate EBITDA of 1,800, less 1,500 still to spend	12,900
Enterprise value, October 2027		142,034
Less net debt, end 2027	My roll from 30 June 2026; about 3.7x 2027E EBITDA	(35,745)
Less existing outside owners	20 x their income of about US$190m (book US$2.2bn)	(3,800)
Less Blackstone's investment	Debt-like: 6.35% target return	(5,340)
Equity value	1,250m shares	97,149
Base value per share		**US$77.72**

Scenarios: three cases, twelve months out

Case	What happens	Pipes 2028E	Pipes x	Power x	Value	Change	Weight
Bear	Gas growth slows; AI power deals stall; core 2% a year	US$9.10bn	11.5x	6x	US$55.22	down 26%	25%
Base	Core 4% then 5%; five projects on time	US$9.57bn	13.5x	8x	US$77.72	up 5%	50%
Bull	More Transco expansions; the backlog converts	US$9.76bn	15x	11x	US$95.80	up 29%	25%
Weighted	**25 / 50 / 25**				**US$76.61**	**up 3%**	

Pipes 2028E includes Momentum. All cases keep the same net debt, outside owners and Blackstone balance; a weaker case would also carry more debt, so the bear case is if anything generous.

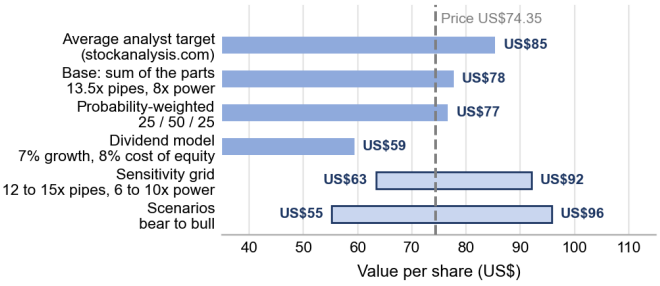
Sensitivity: the pipes' multiple against the power multiple

Pipes \ Power	6x	8x	10x
12.0x	US$63.36	US$66.24	US$69.12
13.5x	US$74.84	**US$77.72**	US$80.60
15.0x	US$86.32	US$89.20	US$92.08

Six of the nine cells sit above the price, and only the three in the 15 times row sit 15% or more above it. The pipes' multiple moves the value about five times as much per turn as the power multiple. A long needs the base 15% or more above the price, a short 25% or more below. At 4.5% above, my call is no call.

Dividend cross-check. If the dividend grows 7% a year for ten years and 3% after, at an 8% cost of equity, it is worth US$59.38, 20% below the price; at that growth the price implies a cost of equity of 7.0%. A dividend model undercounts a company paying out two fifths of its cash, so I use it only to show how much growth the price needs.

Valuation cross-check and peer landscape



Company	EV/ EBITDA	Fwd P/E	Yield
Williams	17.3x	29.9x	2.8%
Kinder Morgan	14.1x	21.8x	3.5%
DT Midstream	16.9x	25.1x	2.8%
Targa Resources	15.8x	27.3x	1.6%
ONEOK	11.6x	16.4x	4.4%
Enterprise Products	10.9x	12.4x	5.9%
Energy Transfer	8.2x	12.6x	6.5%

Left: value per share by method against the price (grey). Right: trailing EV/EBITDA, forward P/E and dividend yield from stockanalysis.com, retrieved 2 November 2026, on its own EBITDA measure (Williams: US$7.03bn trailing against its Adjusted EBITDA of US$8.13bn); peer median 12.8x. Multiples set the range only; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
Early November 2026 (date not confirmed)	Q3 2026 results	Socrates South's first full quarter; EBITDA against the US$8.3 to 8.5bn guide; new power contracts
Q4 2026	Socrates North in service	On time and on budget, like South
February 2027 (date not announced)	Q4 2026 results and 2027 guide	2027 Adjusted EBITDA against my US$9.6bn; US$10.3bn or more would move me towards a long
Early 2027	Rest of the Blackstone capital	About US$1.6bn more after July's US$3.75bn
2H 2027	Apollo, Aquila; Southeast Supply Enhancement	Two plants and 1,597,000 Dth a day of new Transco capacity

Risks: what would hurt the view

One customer per plant, and the end of the contract. Each plant sits on one customer's site with no grid behind it. After 10 to 12.5 years the customer can extend but need not. If the plants have no value after the contract, my power value falls by about US$1.1bn, under a dollar a share.

Delays and debt. Four more plants, 2,032 MW, are due from 2H 2027 to 2H 2028, all assuming permits on time, and equipment timing still sets the pace. Net debt rose from US$29.3bn at the end of 2025 to US$30.6bn at the end of June, before Momentum's US$3.5bn of cash and debt; Williams calls 2026 and 2027 its tight years.

The pipes' multiple. The largest risk to the value: at 12 times rather than 13.5 times, my value falls to US$66.24. The build multiple matters far less: at 6 times rather than 5, my value falls by about US$1.94, to US$75.78.

What would change my mind

Into a long: a price below about US$67.58, where my base value would sit 15% above it; or a 2027 guide of US$10.3bn or more of Adjusted EBITDA, which would lift my pipes estimate by about US$720m. New power contracts help less than they sound: each further GW at a 5 times build multiple adds about US$1.70 a share at my 8 times. **Into a short:** a price above about US$103.62.

My call is wrong if: The shares close above US$93 or below US$56 in October 2027, a quarter above or below the price; or 2026 Adjusted EBITDA lands below the US$8.3 billion bottom of Williams' guide; or Socrates North is not in service by 31 March 2027.

Conclusion

The October piece argued that building your own gas power swaps the grid's queue for the makers' queues. Williams agrees in its own words: it bought the machines first, and equipment timing sets its pace. Its first plant for Meta entered service in late July, and four more are due by the end of 2028. Nothing I found says the piece was wrong. The power business earns well, but it is about a ninth of Williams' EBITDA by 2028, and the price already pays today's full multiple for the pipes. My call: NO CALL, medium conviction; base value US$77.72, range US$55.22 to US$95.80.

Appendix: forecast assumptions

Assumption	2026	2027E	2028E	Basis
Core EBITDA growth	4.8%*	4%	5%	Transco expansions; SESE from 2H 2027
Momentum EBITDA, US$m	216	647	700	8.5x on US$5.5bn; Shelby Trough 2Q 2028
Power EBITDA, US$m	66	526	1,177	US$0.696m per installed MW-year
Interest, US$m	1,535 (guide)	1,700	1,800	Debt rises with capex
Growth capex, US$m	7,600 (guide)	7,500		2027 'a high watermark' (Q2 call)
Dividend per share, US$	2.10	2.205	2.315	+5% a year, the recent pace

**Implied by my split of the guide. All my estimates. Full workings, with live formulas, in 2026-11-02_Williams_Model.xlsx.*

Sources

Williams Q2 2026 earnings release (Form 8-K, Ex. 99.1) and Form 10-Q, 3 August 2026, for results, guidance, the power projects, the Blackstone joint venture, Momentum and the Southeast Supply Enhancement. Williams 2025 Form 10-K (24 February 2026) and first quarter 2026 Form 10-Q for Socrates' capacity. Williams earnings releases of 3 November 2025, 10 February 2026 and 4 May 2026. Williams Form 8-K of 13 July 2026, Exhibits 99.1 and 99.2. Williams prospectus supplement of 3 September 2026 for the Momentum shares. Williams first and second quarter 2026 earnings calls, 5 May and 4 August 2026, from third-party transcripts (AllMind). Ohio Power Siting Board, case 25-188-EL-BGN, 18 September 2025. PJM 2027/2028 Base Residual Auction report, December 2025. Share prices from Nasdaq.com; consensus, targets and peer multiples from stockanalysis.com (S&P Global data); all retrieved 2 November 2026. Estimates for 2027 and 2028, the 2026 split and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 22 September 2026, updated on 30 October 2026, thephysicallayer.fyi/journal/building-your-own-power; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Williams. Personal research, not investment advice.

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